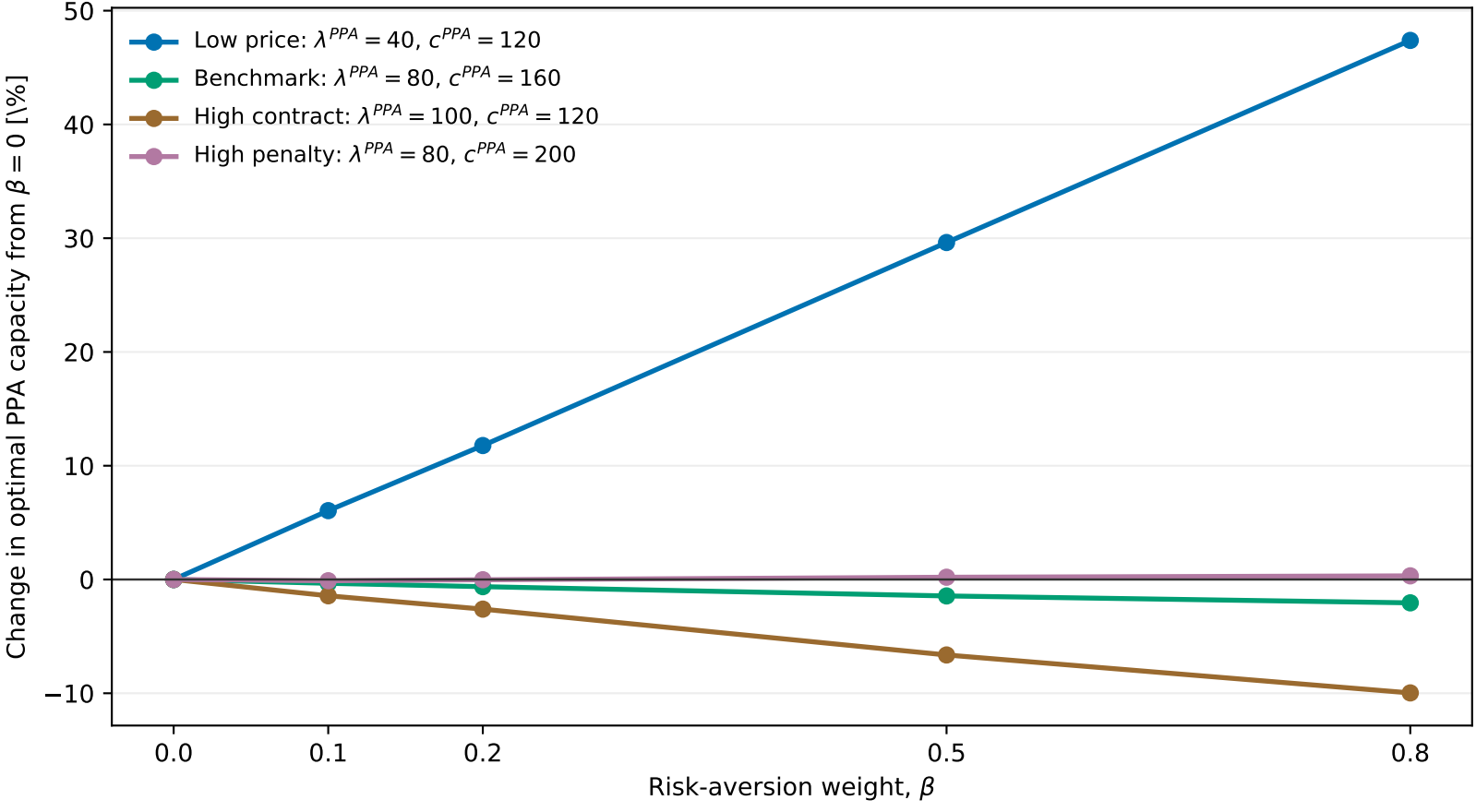
Relative response of optimal PPA capacity to risk aversion
Generic Industrial, hourly settlement, 20 MW/60 MWh battery
Low price: $\lambda^{PPA} = 40$, $c^{PPA} = 120$
Benchmark: $\lambda^{PPA} = 80$, $c^{PPA} = 160$
High contract: $\lambda^{PPA} = 100$, $c^{PPA} = 120$
High penalty: $\lambda^{PPA} = 80$, $c^{PPA} = 200$
Change in optimal PPA capacity from $\beta = 0$ [\%]
50
40
30
20
10
0
−10
0.0
0.1
0.2
0.5
0.8
Risk-aversion weight, β